



and in turn the amount of food you ate influenced your hunger. It looks like one action but actually it is a loop. It would be only one action if you knew exactly how much food to eat to feed your hunger and you ate that quantity of food.

When two parts are connected the influence can go both ways, like a telephone line; if you can dial a friend he can also dial you. Feedback is the output of a system re-entering as its input, or the return of information to influence the next step. Feedback is fundamental to systems. There are two types of feedback loops:

- **Reinforcing Feedback:** when changes in the whole system return to amplify the original change and this amplified change goes through the system producing more change in the same direction. An example would be a snowball rolling down the hill. It collects snow as it rolls and becomes larger and larger until it eventually becomes a boulder.
- **Balancing Feedback:** when changes in the whole system return to oppose the original change and so dampen the effect. A balancing feedback loop is where change in one part of the system results in change in the rest of the system that restrict, limit or oppose the initial change. These are loops that resist change and keep the system stable or else the reinforcing feedback would break the system.

Feedback is a circle. It takes time to travel round a circle and so the effects can appear some time after the cause. When there is a time delay between cause and effect and we assume there is no effect at all, we may be surprised when the effect suddenly happens. What we do now will affect our lives in the future when the consequences come round again. We do not see the connection and we blame prevailing conditions but actually the roots lie in our own past actions. We mould the future by our present actions.

Very often the most critical point of leverage in any system is the belief of the people, because it is these beliefs that sustain the system. The stock market is one such system and it is the beliefs and the behaviour of its various participants from time to time that shape their progress.